



Chapter 10

Working with Direct Participation Programs and REITs

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- » Understanding the specifics of DPPs
- » Distinguishing a limited partner from a general partner
- » Getting a handle on the paperwork and taxes involved
- » Looking at the different types of DPPs
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Direct participation programs (DPPs) can raise money to invest in real estate, oil and gas, equipment leasing, and so on. More commonly known as limited partnerships, these businesses are somewhat similar to corporations (stockholder-owned companies). However, limited partnerships have some specific tax advantages (and disadvantages) that a lot of other investments don't have. According to tax laws, limited partnerships are not taxed directly; the income or losses are passed directly through to the investors.

DPPs were once known as tax shelters because of the tax benefits to investors; however, tax law changes have taken away a lot of these ad-

vantages. As a result, DPPs have somewhat fallen out of favor for investors (though not entirely for the SIE designers).

In this chapter, I explain the differences between limited and general partners as well as the types of partnerships, their particular risks, and potential rewards. The info here can help you examine those risks and rewards and determine the suitability of DPPs for investors. I also explain two inevitable facts of life as they apply to partnerships: the filing of paperwork and the payment of taxes. Finally, I explain the ins and outs and some of the specifics you need to know about real-estate investment trusts (REITs). Unlike mutual funds that invest in a pool of securities, REITs invest in real estate. If you can't wait, they're toward the end of the chapter.

Searching for Identity: What DPPs Are (and Aren't)

Just as stockholders are owners of a corporation, limited (and general) partners are owners of a *direct participation program* (DPP). The key difference for people investing in DPPs is that they're required to tie up their investment dollars for a long period of time, though they receive tax advantages for doing so. Most DPPs are set up for real-estate projects, oil and gas projects, or equipment leasing.



REMEMBER The IRS determines whether an enterprise is a corporation or a limited partnership. For a limited partnership to actually be considered (and taxed) as a limited partnership, it has to *avoid* at least two of the following corporate characteristics (usually the last two):

- **Having a centralized management:** Corporations have management in one place. The challenges of managing a limited partnership from several locations make this corporate trait quite difficult for a partnership to avoid.

- **Providing limited liability:** Corporate shareholders have limited liability; well, so do limited partners. The liability of corporate shareholders is limited to the amount invested, and the liability of limited partners is limited to the amount invested plus a portion of any recourse loans taken out by the partnership (if any). Providing limited liability is pretty much unavoidable.
- **Having perpetual (never-ending) life:** Unlike corporations, which hope to last forever, limited partnerships are set up for a definite period of time. Limited partnerships are dissolved at a predetermined time — for example, when their goals are met or after a set number of years.
- **Having free transferability of partnership interest:** DPPs are difficult to get in and out of. Unlike shares of stock, which can be freely bought and sold by anyone, limited partners not only have to pass the scrutiny of a registered rep, but they also require approval of the general partner. DPP investors (limited partners) must show that they have enough money to invest initially, plus have liquidity in other investments in the event that the partnership needs a loan.



REMEMBER For SIE exam purposes, you need to remember that the easiest corporate characteristics for a partnership to avoid are perpetual life (continuity of life) and having free transferability of shares; the most difficult to avoid are providing limited liability and having a centralized management.

The DPP Characters: General and Limited Partners

By law, limited partnerships require at least one limited partner and one general partner. Limited partners are the investors, and general partners are the managers. When you're looking at general and limited partners, you want to focus on *who can and can't do what*.

General partners are responsible for the day-to-day decision making (overseeing operations, deciding when to buy or sell, choosing what to invest in, and so on) for the partnership. Limited partners (the investors) provide the bulk of the money for the partnership but, unlike general partners, can't make any of the partnership's investment decisions. [Table 10-1](#) lays out the key things to remember about general and limited partners for the SIE.

TABLE 10-1 Comparing General and Limited Partners

<i>Category</i>	<i>General Partners</i>	<i>Limited Partners</i>
Decision making	Are legally bound to make decisions in the best interest of the partnership; make all the partnership's day-to-day decisions	Have voting rights but can't make decisions for the partnership
Tasks	Buy and sell property for the partnership; manage the partnership's assets	Provide capital; vote; can keep general partners in check by reviewing books
Liability and litigation	Have unlimited liability (can be sued and held personally liable for all partnership debts and losses)	Have limited liability (limited to the amount invested and a proportionate share of any recourse loans taken by the partnership); can inspect <i>all</i> the partnership books; can sue the general partner or can

<i>Category</i>	<i>General Partners</i>	<i>Limited Partners</i>
		sue to dissolve the partnership
Financial involvement	Maintain a financial interest in the partnership	Provide money contributed to the partnership, recourse debt of the partnership, and nonrecourse debt for real-estate DPPs
Financial rewards	Receive compensation for managing the partnership	Receive their proportion of profits and losses
Conflicts of interest	Can't borrow money from the partnership; can't compete against the partnership (for example, they can't manage two buildings for two different partnerships in close proximity to each other)	None; can invest in competing partnerships

Partnerships are usually set up as *tenants in common* (TIC). What this means is that each limited partner owns an undivided interest in the property held by the partnership. In addition, in the event that one of the limited partners dies, his partnership interest will be passed to a beneficiary or to his estate.

Pushing through Partnership Paperwork

For the SIE, you need to know about certain paperwork that's specific to limited partnerships. In the following sections, I discuss the three required documents necessary for a limited partnership to exist.

Partnership agreement

The *partnership agreement* is a document that includes the rights and responsibilities of the limited and general partners. Included in the agreement are basics that you would probably guess such as the name of the partnership, the location of the partnership, the name of the general partner, and so on. In addition, the partnership agreement addresses the general partner's rights to

- Charge a management fee for making decisions for the partnership
- Enter the partnership into contracts
- Decide whether cash distributions will be made to the limited partners
- Accept or decline limited partners

Certificate of limited partnership

The *certificate of limited partnership* is the legal agreement between the general and limited partners, which is filed with the Secretary of State in the home state of the partnership. The certificate of limited partnership includes basic information such as the name of the partnership and its primary place of business, the names and addresses of the limited and general partner(s), and the following items:

- The objectives (goals) of the partnership and how long the partnership is expected to last
- The amount contributed by each partner, plus future expected investments
- How the profits are to be distributed
- The roles of the participants
- How the partnership can be dissolved

- Whether a limited partner can sell or assign his interest in the partnership

If any significant changes are made to the partnership, such as adding new limited partners, the certificate of limited partnership must be amended accordingly.

Subscription agreement

The *subscription agreement* is an application form that potential limited partners have to complete. The general partner uses this agreement to determine whether an investor is suitable to become a limited partner. The general partner has to sign the subscription agreement to officially accept an investor into the DPP.

One of your jobs as a registered rep is to prescreen the potential limited partner to make sure that the partnership is a good fit for the individual. Consider the following questions:

- Does he have enough money to invest?
- Does he have enough cash or liquidity in other investments in case the partnership needs more money?
- Is he okay with tying up his money for a long period of time?
- Can he handle the risks?

Also, you need to review the agreement to ensure (to the best of your ability) that the information the investor provides is complete and accurate. Besides the investor's payment, the subscription agreement has to include items such as the investor's net worth and annual income, a statement explaining the risks of investing in the partnership, and a power of attorney that allows the general partner to make partnership investment decisions for the limited partner.

Passive Income and Losses: Looking at Taxes on Partnerships

DPPs used to be called *tax shelters* because DPPs flow through (or pass through) not only income but also losses to investors (corporations only flow through income). Prior to 1986, investors could write off these losses against income from other investments. Then the IRS stepped in because it felt that this write-off was too much of an advantage for investors (or the IRS wasn't making enough money) and decided to give DPPs their own tax category. Now, because investors are not actively involved in earning the income, taxes on DPPs are classified as *passive income* and *passive losses*. (See [Chapter 15](#) for more info on taxes and types of income.)



REMEMBER The key thing to remember for SIE purposes is that investors can write off passive losses only against passive income from other DPP investments.

Evaluating Direct Participation Programs

Direct participation programs can be offered *publicly* or *privately*. Public offerings of DPPs must be registered with the Securities and Exchange Commission (SEC) whereas private offerings (offerings to mostly wealthy investors) are not. Typically, publicly offered DPPs have a lower unit (buy-in) cost than that of privately offered DPPs.

Certainly direct participation programs do provide some advantages, but they also have additional risks that investors don't face with other types of investments, such as having to loan additional money to the partnership if needed. Therefore, when evaluating whether an investment in a DPP may be right for one of your clients, not only do you need to determine whether investing in a partnership is wise for that client, but you also need to consider the following items:

- The economic soundness of the program
- The expertise of the general partner

- The basic objectives of the program
- The start-up costs involved

Checking Out Types of Partnerships

Certainly partnerships can be formed to run any sort of business that you can imagine, but the SIE exam focuses on the big three: real estate, equipment leasing, and oil and gas. You need to be able to identify the risks and potential rewards for each of the following types of partnerships.



REMEMBER Because of the risks associated with some of the different types of DPPs, investors should have the ability to tie up their money for a long period of time and be able to recover from a loss of all the money invested in case the partnership never becomes profitable.

Building on real-estate partnership info

Real-estate partnerships include programs that invest in raw land, new construction, existing properties, or government-assisted housing. You need to know the differences among the types of programs, along with their risks and potential rewards. Here are the types of real-estate DPPs, from safest to riskiest:

- **Public housing (government-assisted housing programs):** This type of real-estate DPP develops low-income and retirement housing. The focus of this type of DPP is to earn consistent income and receive tax credits. The U.S. government (through U.S. government subsidies), via the department of Housing and Urban Development (HUD), makes up any deficient rent payments. Appreciation potential is low and maintenance costs can be high, but the DPP does benefit from a little government security. Public housing DPPs are

backed by the U.S. government and, therefore, are considered the safest real-estate DPP.

- **Existing properties:** This type of DPP purchases existing properties, and the intent is to generate a regular stream of rental income. Because the properties already exist, this DPP generates immediate cash flow. The risk with this type of DPP is that the maintenance or repair expenses will eat into the profit or that tenants won't renew their leases. The properties already exist and are producing income, so the risk for this type of DPP is relatively low.
- **New construction:** This type of DPP purchases property for the purpose of building. After completing the construction, the partnership's goal is to sell the property and structure at a profit after all expenses. Building costs may be more than expected, and the partnership doesn't receive income until the property is sold, but the DPP can benefit from appreciation on both the land and the structure. Although this investment is speculative, it's not as risky as a raw land DPP.
- **Raw land:** This type of DPP invests in undeveloped land in anticipation of long-term capital appreciation; raw land DPPs don't build on or rent out the property. The partnership hopes the property purchased will appreciate in value so that the DPP can sell the property for more than the purchase price plus all expenses.



REMEMBER Raw land DPPs are considered the riskiest real-estate DPP because the partnership doesn't have any cash flow (no rental or sales income), and the value of the land may not increase — it may actually decrease.



TIP The main thing to remember with real-estate DPPs is that depending on which type you invest in, they can provide capital growth potential through the appreciation of property held by the DPP; cash flow for DPPs that hold rentals; tax deductions for mortgage interest,

depreciation, and capital improvements; and tax credits for DPPs that hold government-assisted housing.

Gearing up with equipment leasing

Although you may be tested on equipment leasing programs on the SIE exam, it's typically the least-tested type of DPP on securities exams. Equipment leasing programs purchase equipment (trucks, heavy machinery, computers ... you name it) and lease it out to other businesses. The objective is to obtain a steady cash flow and depreciation write-offs. The two types of leasing arrangements you need to be aware of are the operating lease and the full payout lease:

- **Operating lease:** This type of equipment leasing program purchases equipment and leases it out for a short period of time. The DPP doesn't receive the full value of the equipment during the first lease. This type of arrangement allows the DPP to lease out the equipment several times during the life of the machinery.
- **Full payout lease:** This type of equipment leasing program purchases the equipment and leases it out for a long period of time. The DPP receives enough income from the first lease to cover the cost of the equipment and any financing costs. Usually, the initial lease lasts for the useful life of the equipment.



REMEMBER The main thing to remember about equipment leasing is that the operating lease is riskier because the equipment becomes less valuable or outdated over time and, therefore, less rentable.

Strengthening your grasp on oil and gas

Oil and gas partnerships include programs that produce income, are speculative in nature, or are a combination of the two. You need to know how the types of programs differ, along with their risks and po-

tential rewards. Oil and gas partnerships also have certain tax advantages that are unique:

- **Intangible drilling costs (IDCs):** IDCs are write-offs for drilling expenses. The word *intangible* is your clue that you're not talking about actual equipment. These costs include wages for employees, fuel, repairs, hauling of equipment, insurance, and so on. IDCs are usually completely deductible in the tax year in which the intangible costs occur. IDC deductions are only for the drilling and preparing of a well for the production of oil and gas. Therefore, when a well is producing, IDC write-offs are not allowed.
- **Tangible drilling costs (TDCs):** TDCs are write-offs on items purchased that have salvage value (items that can be resold). All oil and gas DPPs have TDCs, which include costs for purchasing items such as storage tanks, well equipment, and so on. These costs are not immediately written off but are *depreciated* (deducted) over seven years. Depreciation may be claimed on either a straight-line basis (writing off an equal amount each year) or an accelerated basis (writing off more in the early years and less in the later years).



REMEMBER IDCs are fully deductible in the current year; TDCs are depreciated (deductible) over several years.

- **Depletion:** Depletion is a tax deduction that allows partnerships that deal with natural resources (such as oil and gas) to take a deduction for the decreasing supply of the resource. Partnerships can claim depletion deductions only on the amount of natural resources sold (not extracted and put in storage for future sale).



REMEMBER Depletion deductions are only for DPPs that deal with natural resources. On the SIE exam, the only DPP with depletion deductions that you need to be concerned with is oil and gas.

When investing in oil, partnerships can pioneer new territory, drill near existing wells, buy producing wells, or try a combination of those methods. For SIE exam purposes, exploratory programs are the riskiest oil and gas DPPs because oil may never be found, and income programs are the safest oil and gas DPPs. To make your life easier (hopefully), I've composed a DPP comparison chart (see [Table 10-2](#)) to help you focus on the main points of each type of oil and gas DPP.

TABLE 10-2 Advantages and Risks of Various Oil and Gas DPPs

<i>Type</i>	<i>Objective</i>	<i>Advantages</i>	<i>Risks</i>
Exploratory (wildcatting)	To locate and drill for oil in unproven, undiscovered areas	Long-term capital appreciation potential; high returns for discovery of new oil or gas reserves	Riskiest oil and gas DPP because new oil reserves may never be found; high IDCs because the DPP isn't working with producing wells
Developmental	To drill near producing wells with the hope of finding new reserves	Long-term capital appreciation potential with less risk than exploratory programs; oil will likely be found	The property's expensive; the drilling costs may be higher than expected; the risk of dry holes (non-producing

Type	Objective	Advantages	Risks
			wells) is still somewhat high; medium level of IDCs
Income	To provide immediate income by purchasing producing wells	The partnership generates immediate cash flow; the least risky of the oil and gas DPPs; no IDCs	High initial costs; the well could dry up; gas prices could go down
Combination	To provide income to help pay for the cost of finding new oil reserves	The ability to offset the costs of drilling new wells by using income generated by existing wells	Carries the risks of all the programs combined

The following question concerns different DPP investments.



EXAMPLE Mr. Smith has money invested in a limited partnership that’s expecting to have a significant amount of income over the next one to two years. Which of the following programs would BEST help Mr. Smith shelter the MOST of that income?

(A) Oil and gas exploratory

- (B) Raw land purchasing
- (C) Equipment leasing
- (D) Existing real-estate property

The answer you want is Choice (A). Oil and gas exploratory programs spend a lot of money attempting to find and drill for oil. These programs have high IDCs (intangible drilling costs), which are fully tax-deductible when the drilling occurs. Therefore, the oil and gas exploratory programs have the largest write-offs in the early years, which could help Mr. Smith offset some or all of his passive income from the other limited partnership.



REMEMBER Unlike corporations, DPPs have an ending date. That date could be either predetermined as placed in the partnership agreement, when a project is completed (for example, when buildings are built and sold, oil is found and the land is sold, equipment is sold, and so on), or when the limited partners vote to dissolve the partnership. When the partnership is dissolved, the first to be paid out of the partnership assets are secured creditors, then general creditors are paid, after that limited partners are paid, and the last to be paid are the general partners.

Reducing Real-Estate Risk with REITs

A *real-estate investment trust* (REIT) is a trust that invests in real-estate-related projects such as properties, mortgage loans, and construction loans. REITs pool the capital of many investors to manage property and/or purchase mortgage loans. As with other trusts, they issue shares to investors representing their interest in the trust. REITs may be listed on an exchange or can trade over-the-counter (OTC) (see

[Chapter 14](#) for more info on markets). They also provide real-estate diversification and liquidity for investors.

REITs are distributed in the primary market at the IPO price. Unlike mutual funds, which are redeemed with the issuer, REITs are traded (bought and sold) in the secondary market to other investors. In addition, REITs have a finite number of shares outstanding, like closed-end funds. Because REITs are traded in the secondary market, their price may be at a discount or premium to the NAV (Net Asset Value; see [Chapter 9](#)), depending on investor sentiment.

Equity REITs take equity positions in real-estate properties; the income is derived from rent collected or profits made when the properties are sold. *Mortgage REITs* purchase construction loans and mortgages. The trust receives the interest paid on the loans and in turn passes it on to the owners of the trust (the investors). *Hybrid REITs* are a combination of equity and mortgage REITs. Hybrid REITs generate income derived from rent and capital gains (like an equity REIT) and interest (like a mortgage REIT).

REITs can *avoid* being taxed like a corporation if

- At least 75 percent of the income comes from real-estate-related activities
- At least 75 percent of the REIT's assets are in real estate, government securities, and/or cash
- At least 90 percent of the net income received is distributed to shareholders (who pay taxes on the income)



WARNING Don't get REITs confused with real-estate limited partnerships. Limited partnerships pass on (the industry term is *pass through*) income and write-offs to investors to claim on their own personal tax return; REITs pass only income through to investors.

Don't kill yourself worrying too much about REITs (not that you would); you won't get more than one or two questions on the SIE relating to REITs.

Private (private placement) REITs

REITs may be sold privately. Private REITs are exempt from SEC registration, and their shares don't trade on a national securities exchange such as the NYSE. As such, they are not subject to the same disclosure requirements as exchange-listed or public non-listed REITs. Private REITs are exempt from SEC registration under Regulation D of the Securities Act of 1933 (see [Chapter 5](#)). In general, private REITs can only be sold to accredited investors and institutional investors. Since they aren't sold on an exchange and cannot be sold to just any investor, private REITs are not liquid investments.

Registered non-listed REITs

Registered non-listed REITs are also known as public non-listed REITs (PNLRs). PNLRs are registered with the SEC but do not trade on a major exchange. PNLRs are similar to listed REITs in every way, including disclosure requirements, except that they're not as liquid. PNLRs may be purchased and sold over-the-counter (OTC), and some issuers have periodic (daily or less frequent) repurchase options that allow investors to sell shares back to the issuer at the net asset value (NAV).

Listed REITs

As you can imagine, listed REITs are ones that have to register with the SEC and are also listed on one or more national exchanges. So, listed REITs provide the highest degree of liquidity to investors.

